

Internal Audit Procedure

Procedure AUD-PROC-04 · Version 4.2 · Classification: Confidential

1. Mandate

Internal Audit provides independent assurance to the Audit and Risk Committee that governance, risk management, and control processes are effective. The Chief Audit Executive is Priya Raman. Internal audits are conducted quarterly across in-scope processes, and an independent external financial statement audit is performed annually. Audit staff must remain independent of the activities they review and must disclose conflicts before fieldwork begins.

2. Annual planning

Each November Internal Audit builds a risk-based plan using residual risk ratings, prior findings, regulatory change, and management requests. High residual-risk processes are audited at least annually. Medium-risk processes are audited at least every two years. The plan is approved by the Audit and Risk Committee before 15 December. Unplanned special reviews may be added with committee chair approval.

3. Engagement lifecycle

A standard engagement has four phases: planning, fieldwork, reporting, and follow-up. Planning produces an engagement letter, process walkthrough, and test program. Fieldwork samples transactions, inspects evidence, and interviews process owners. Reporting issues a draft within ten business days of fieldwork close. Management has five business days to respond with action owners and dates. Final reports are issued to the committee and the responsible executive.

4. Finding severity and remediation SLAs

Findings are classified Critical, High, Medium, or Low. Critical findings indicate a control failure that could cause material financial misstatement, significant regulatory exposure, or a severe security incident. Critical findings must be remediated within 15 calendar days. High findings must be remediated within 30 calendar days. Medium findings must be remediated within 90 calendar days. Low findings must be remediated within 180 calendar days. Overdue Critical or High items are escalated to the CEO and reported at the next committee meeting.

5. Evidence standards

Working papers must identify the source, date obtained, and auditor. Screenshots require a timestamp and system name. Sampling uses a 95 percent confidence level for financial controls and a 90 percent confidence level for operational controls unless a statistical exception is documented. Evidence is retained for seven years in the audit workspace. Draft reports are Confidential; issued reports are Restricted until the committee releases a summary.

6. Quality assurance

Every engagement is reviewed by a senior auditor who did not perform the tests. Internal Audit maintains an external quality assessment every five years in accordance with the Global Internal Audit Standards. Metrics reported quarterly include percent of plan complete, aging of open findings, and average days to issue a final report.